NCLAT verdict was based on a wrong premise that Tata Sons was owned by just two groups: ‘There has never been any relationship akin to a partnership. Cyrus Mistry was made the Executive Chairman of Tata Sons in a purely professional capacity and not as a representative of the SP Group.’ Consequently, the argument made before NCLAT of quasi-partnership had no basis, either in fact or law.

In his submission before the apex court, Ratan called into question Mistry’s declared objective that he sought legal recourse to protect the interests of minority shareholders. A business daily reported that Ratan submitted: ‘Under a cloak of oppression and mismanagement petition, the Mistry’s case with all it[s] rambling prolixity is essentially about the personal grievance of a CEO of a company for [loss] of office. Knowing well the limitation of such a grievance—which at the highest could be a directorial dispute or an employment dispute, Mistry has created a smokescreen of “oppression and mismanagement” around it. And to sustain this premise, which Mistry knows is otherwise legally untenable, he has resorted to ad hominem arguments.’

Ratan contended that the deep hostility and personal animosity Mistry showed towards the House of Tatas made it clear that he had become a ‘Trojan Horse’. Defending the former chairman’s removal, he said that a decision of such nature would always have the element of suddenness. ‘Such decisions are not like [the] commercial launch of a product which will have a precursor. But to say that the decision was “hasty” is totally unjustified,’ Ratan said.

Mistry, on his part, however, attempted to downplay the significance of the appellate tribunal’s judgment for his group. In what appeared to be a tactical move intended to show that the NCLAT was not overwhelmingly and unusually supportive of Mistry, in February 2020 he filed a ‘cross-appeal’ contending that the NCLAT did not do justice to his prayers. He submitted that it did not grant him ‘crucial reliefs’.

The Supreme Court Decides

After hearing the appeals by Tata Sons and the others for over a year, the Supreme Court stayed the NCLAT order on 10 January 2020.

Then, in a momentous judgment of 282 pages, on 26 March 2021, the Supreme Court bench, consisting of Chief Justice S.A. Bobde and Justices